

Market Equilibrium Game Instructions

Deck Set-up (Shuffled)

Buyer Value	Quantity (19)	Seller Value	Quantity (19)
10	2	1	4
9	3	2	3
8	3	3	3
7	3	4	3
6	3	5	3
5	2	6	2
4	3	7	1

Absences:

1. I take a card
2. Remove Buyer 4 and Seller 7 (until none left)
3. Remove Buyer 5 and Seller 6

Rounds 1-3: Normal Trading ($P^*=5$, $Q^*=16$)

Round 4: Price Ceiling of 4

Round 5: Price Floor of 6

Round 6: Quota of 10 Units

- After game write down table of values
- Students draw demand and supply curves, show equilibrium price and quantity
- How does the model compare to our actual trades?

Earnings Record Sheet

Name_____

(Use only left or right hand side of this form for each round depending on being a buyer or seller)

Seller Earnings (red cards)	Round	Buyer earnings (black cards)
Price_____ – Cost_____ = Earnings _____	Round 1	Value_____ – Price_____ = Earnings_____
Price_____ – Cost_____ = Earnings _____	Round 2	Value_____ – Price_____ = Earnings_____
Price_____ – Cost_____ = Earnings _____	Round 3	Value_____ – Price_____ = Earnings_____
Price_____ – Cost_____ = Earnings _____	Round 4	Value_____ – Price_____ = Earnings_____
Price_____ – Cost_____ = Earnings _____	Round 5	Value_____ – Price_____ = Earnings_____
Price_____ – Cost_____ = Earnings _____	Round 6	Value_____ – Price_____ = Earnings_____
Price_____ – Cost_____ = Earnings _____	Round 7	Value_____ – Price_____ = Earnings_____

Total Earnings for All Periods _____

Note: Price = price agreed with purchaser
Cost = value of red card

Note: Value = value of black card
Price = price agreed with seller